



1.

The price elasticity of demand for labour measures the responsiveness of

- A the supply of labour to a change in the demand for labour. ☐
- B the wage rate to a change in the demand for labour. ☐
- C the demand for labour to a change in the supply of labour. ☐
- D demand for labour to a change in the wage rate. ☐

[1 mark]

2.

Assess the view that wide wage differentials are good for the economy and that governments should therefore play no part in deciding wage rates.

[25 marks]

3.

'...any negative economic effects of trade unions are outweighed by the positive effects of trade union activities on wages, discrimination and exploitation' (**The Global Context Extract C**, lines 21–23).

Using the data and your economic knowledge, evaluate whether governments, such as those of the UK or China, should intervene in labour markets to increase trade union membership.

[25 marks]

4.

'Although the wage differential has increased between top executives and other employees, the government cannot tell people what they should be paid. However, it should act where there has been market failure, because labour markets are not perfect.'

Explain **three** reasons why labour markets may be imperfectly competitive.

[15 marks]



5.

It has been suggested that the NMW should be increased so that it is the same as the Living Wage.

Using **The National Minimum Wage After 15 Years**, explain the possible effects on individuals and the economy if the government were to adopt this suggestion.

[15 marks]

6.

Explain what is meant by 'monopsonistic demand for labour' (**The Global Context Extract B**, lines 13-14) **and** analyse how a trade union can influence wages **and** employment levels in an imperfectly competitive labour market.

[9 marks]

7.

Using **The Global Context Extract A**, calculate to one decimal place the percentage decrease in the number of employees who were union members in 2010 compared with 1995.

[2 marks]

THE GLOBAL CONTEXT

Extract C: *Walmart* and China

Some global companies are willing to negotiate with trade unions, whilst others try to avoid them. US company *Walmart*, the world's largest retailer and owners of *Asda* in the UK, has been known to stop operating in some countries rather than have to recognise unions. 1

With over a billion people and rising prosperity, China is an irresistible market for the world's largest manufacturers, distributors and retailers. Some of these large companies, such as *Walmart*, *McDonalds* and *FedEx*, have adopted an anti-union stance in the countries in which they operate. 5

In China, however, *Walmart* has signed 'collective bargaining' agreements with the *All-China Federation of Trade Unions* (ACFTU). The Federation has 193 million members and is a monopoly, given that no other trade unions are allowed to operate in China. Officially, signing the agreement was a voluntary action on *Walmart's* part. However, firms which refuse to sign such agreements are likely to face many difficulties in gaining access to Chinese markets. *Walmart* gets a say in the appointment of the trade union Chairman at its workplaces. This official invariably has close links with the Chinese government. So now, if *Walmart's* management in China wants to close stores, lay off employees, change workloads or amend working hours, it must consult ACFTU. In effect, this gives the Chinese government a say in the running of the business. 10 15

ACFTU discourages strikes at a time when working conditions in China have come in for international criticism. ACFTU has also been accused of failing to represent its members properly because the Chinese government prefers to promote business investment and business growth at the expense of workers' rights. However, there is a view that any negative economic effects of trade unions are outweighed by the positive effects of trade union activities on wages, discrimination and exploitation. For this reason, it is argued, the UK government should encourage businesses, wherever they operate in the world, to engage fully with trade unions. 20 25

Source: news reports, 2011

9. THE GLOBAL CONTEXT

Extract B: Workers united?

In 1776, Adam Smith argued that business people often 'combined' (today we would say 'colluded') in order to fix prices and wages, while 'combinations' of workers were illegal. 1

In his opinion there was an imbalance between the actions of employers and the rights of employees. In 1948, all members of the United Nations signed up to the Universal Declaration of Human Rights. Article 23 states: "Everyone has the right to form and to join trade unions for the protection of their interests." The Declaration also states that union membership cannot be made compulsory. 5

In the UK and in other modern democracies, most people would probably agree with the Australian Bureau of Statistics that a trade union is 'an organisation consisting predominantly of employees, the principal activities of which include the negotiation of rates of pay and conditions of employment for its members'. To an economist, a trade union replaces 'individual bargaining' with 'collective bargaining', which may enable workers to create a monopolistic supply of labour to counteract the monopsonistic demand for labour from powerful employers. 10

A prominent British trade union leader claimed recently that union membership was holding steady despite major economic difficulties, and advised workers worried about further shocks to the economy to join a union. He claimed that union members tended to be better paid than workers who are not part of a trade union but who do the same job. Union members earn on average nearly 17%, or £2 an hour, more than other workers. 15

Source: news reports, 2011

10. Explain the distinction between 'monopsony power' and 'oligopoly' (**The European Union Context Extract E**, line 5) and analyse how the market power of supermarkets can affect the profitability of dairy farms.

[9 marks]

11. THE GLOBAL CONTEXT

Extract A: Trade union membership and density, UK, selected years 1995-2010

	1995	2000	2002	2004	2006	2008	2010
Membership (number of employees, millions)	7.1	7.1	7.0	7.1	7.0	6.9	6.5
Density (total UK trade union membership as a % of all UK employees)	32.4	29.8	28.8	28.8	28.3	27.4	26.6

Source: Official statistics, 2011

**12.**

The UK government is considering building a high-speed train line (known as HS2) linking London with cities in the north. It is claimed that HS2 will enable significant reductions in journey times for passengers and goods.

Explain the likely short-run and long-run effects of investment in infrastructure projects such as HS2 on both labour **and** product markets in the UK.

[15 marks]**13.**

THE EUROPEAN UNION CONTEXT

Extract E: British milk from British cows

Milk is the single largest part of the UK agricultural sector by value of output. Almost all the milk in the UK is purchased by just six major processors who then sell on to a market dominated by five or six large supermarket chains. UK dairy farmers complain that while they have to act competitively as price takers, there is a combination of some degree of monopsony power and oligopoly standing between the farms and the public. They claim that dairy processors have too much power when they buy milk from the farms and, in turn, the market for the processors' output is dominated by the buyers working for large, powerful supermarkets, which then sell to the public as oligopolists.

The supermarkets argue that British producers are in a weak position because alternative sources of cheap milk are available for import. The farmers claim that this argument is unsustainable because, if they were forced into bankruptcy, consumers would have no alternative but to buy imported milk which would no longer be offered at low prices.

In 2013, there were concerns about complicated supply chains across Europe resulting in a lack of traceability in meat products, leading to problems such as supermarket beef burgers containing horse meat. If more dairy farms go out of business, similar problems might occur with milk.

Sources: news reports and government information, 2013

14.

'Nurses, who benefit society, earn comparatively little, while some bankers, whose work may cause harm, can earn millions. This is not fair.'

How does economic theory explain such differentials in pay?

[15 marks]**15.**

'Government should be concerned about incentives and disincentives to work. They should not be concerned with fairness in the treatment of various income groups.'

Assess the case for and against governments intervening in labour markets to achieve a fairer distribution of income.

[25 marks]



16.

A firm hires 20 workers at £10 per hour but in order to recruit another worker has to pay £11 per hour. All workers must now be paid the new wage rate. What is the marginal cost of the 21st worker?

A £10

☐

B £11

☐

C £21

☐

D £31

☐

[1 mark]

17.

The authors of a report published by the Institute of Economic Affairs have recommended that the NMW for apprentices and under 18 year olds should be abolished and that each region of the UK should have its own minimum wage.

Taking into account the information in **The National Minimum Wage After 15 Years Extract E** and the original evidence, do you support these recommendations? Justify your answer.

[25 marks]

18.

To what extent, if at all, do the data suggest that the level at which the NMW is set in the UK is damaging to the international competitiveness of the UK economy? You must use the data in **The National Minimum Wage After 15 Years Extract C** to support your answer.

[10 marks]

**19.****The National Minimum Wage after 15 years****Extract E: The National Minimum Wage: silver bullet or poisoned chalice?**

Since its introduction in 1999, the NMW has increased by 75%, whilst average earnings have risen by 61% and the Retail Price Index by 53%. A new report, published by the Institute of Economic Affairs, argues that the NMW should be abolished for apprentices and under 18-year-olds in the UK to tackle persistently high youth unemployment. The rate for 16 and 17 year olds is due to rise to £3.79 per hour in October 2014 and to £2.73 per hour for apprentices. The authors of the report also believe that setting a single NMW is likely to have adverse effects on private sector employment in the regions. In Wales, for example, the NMW is 70% of median hourly earnings in the private sector, compared to just 42% in London. The report recommends that the minimum wage should be regionalised. When determining the minimum wage for each region, differences in productivity and economic conditions should be taken into consideration.

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Source: News Reports accessed May 2104

20.**The National Minimum Wage after 15 years****Extract D: Calls for employers to commit to paying the Living Wage as the pay gap widens**

The TUC, the Archbishop of Canterbury and Boris Johnson, the Mayor of London, are just a few of those who have called on employers to pay their workers a living wage. The Living Wage is defined as 'the wage that can meet the basic needs to maintain a safe, decent standard of living within the community'. The Living Wage differs from the minimum wage in that the latter is set by law and may fail to provide people with enough income to have a reasonable quality of life. It has been claimed that five million people are paid less than the Living Wage, which is estimated at £8.80 an hour in London and £7.65 elsewhere.

1

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Proponents argue that paying the Living Wage means workers can live with dignity and not just exist. By paying the Living Wage, employers can lift their employees out of poverty, debt, and illness, which will improve family life. Employers benefit because it is easier to recruit and retain staff, productivity increases, and there is a reduction in sickness and absenteeism. Government spending on welfare is also reduced. Everyone is a winner.

10

Source: News Reports accessed May 2104

21.**The National Minimum Wage after 15 years****Extract B: The National Minimum Wage to rise to £6.50 in October 2014**

Will a rise in the National Minimum Wage (NMW) damage the competitiveness of the UK economy? Representatives of businesses in the UK have claimed that the recently announced 3% increase in the National Minimum Wage is 'unwelcome in today's economic climate'. Critics of the increase maintain that 'it is essential that businesses remain competitive and that the above inflation increase in the NMW will add significantly to business costs'. Yet competitiveness is not just about wages, it also, for example, depends on productivity, the exchange rate and innovation.

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Source: News Reports accessed May 2104

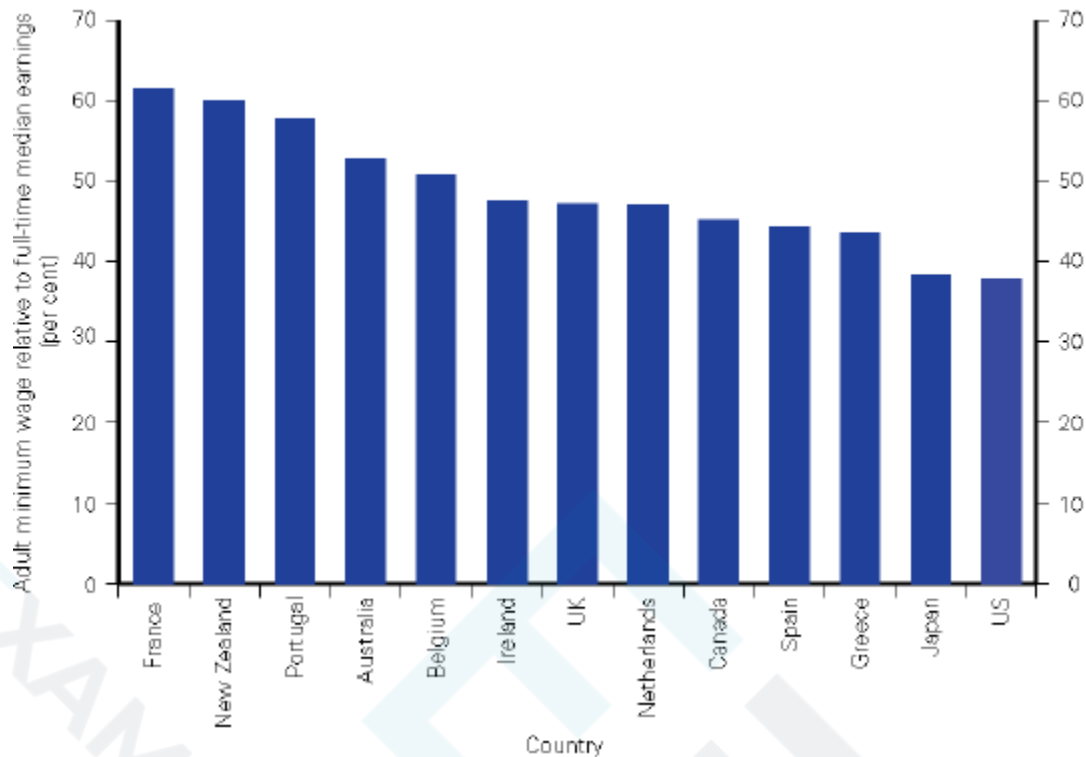
The National Minimum Wage after 15 years

Extract C: International comparison of adult minimum wages by country, December 2013

Country	Minimum wage in UK £s, using purchasing power parity exchange rates
Australia	7.79
France	7.77
Belgium	7.02
Netherlands	6.97
Ireland	6.80
New Zealand	6.35
UK	6.31
Canada	5.89
USA	5.31
Japan	4.80
Spain	3.48
Greece	3.40
Portugal	2.91

Source: Extracted from National Minimum Wage – Low Pay Commission 2014

Adult minimum wages relative to full-time median earnings, by country, 2012



Source: The Future Path of the National Minimum Wage - Low Pay Commission 2014

Some countries, such as China and India, do not have a single national minimum wage. In China, each province sets its own minimum wage to reflect local conditions. In November the hourly rate in Beijing was equivalent to approximately £1.74, whereas in Hunan it was around £0.93.

International comparisons of productivity, final estimates for 2012

Current price GDP per hour worked

UK = 100

Canada	105
France	132
Germany	131
Italy	111
Japan	89
UK	100
USA	135
G7 average	120

Source: ONS 20 February 2014

23.

The National Minimum Wage after 15 years

Extract A: The role of the National Minimum Wage

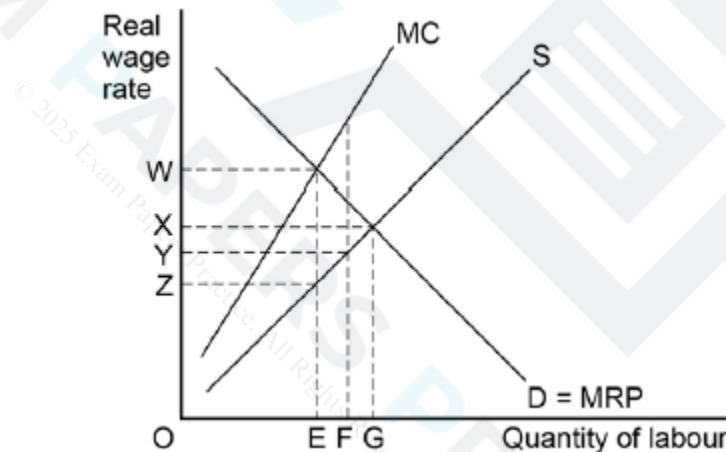
The purpose of the NMW is to provide a wage floor, in order to protect low-paid workers against exploitation, without causing job losses. Many economists have been wary of statutory minimum wages: unless they raise the price of labour at the bottom of the wage distribution above what it would otherwise be they are pointless; but if they raise it then the fear is that they will curb demand for labour, and curb it to the particular detriment of the least skilled.

However, others have pointed out that labour markets are not perfectly competitive. There are costs and risks for workers who want to change jobs, and some employers enjoy a degree of monopsony power in local labour markets. As a result workers may be paid at levels below the market-clearing rate. The implication is that a statutory wage floor may raise the pay of the lowest earners without adverse employment effects. The challenge is to set the level as high as possible short of causing people to lose jobs.

Source: The Future Path of the National Minimum Wage - Low Pay Commission 2014

24.

The diagram below illustrates a monopsony labour market following the introduction of a trade union.



The outcome in terms of wages and employment following the introduction of the trade union is most likely to be

- A a reduction in wages from W to Y and an increase in employment from E to F.
- B an increase in wages from Z to Y and an increase in employment from E to F.
- C a reduction in wages from W to X and an increase in employment from E to G.
- D an increase in wages from X to W and a reduction in employment from G to E.

☐
☐
☐
☐

[1 mark]



25.

Which one of the following is the most likely microeconomic consequence of a fall in tax on income?

- A A decrease in demand for labour ☐
- B An increase in the demand for exports ☐
- C An increase in supply of labour ☐
- D A decrease in demand for imports ☐

[1 mark]

